

CPFR Vision

At Chewy, our CPFR (Collaborative Planning, Forecasting, and Replenishment) vision is to revolutionize the pet care industry's supply chain through seamless collaboration and innovation. We envision a future where every aspect of our supply chain, from suppliers to pet parents, operates in perfect harmony to ensure the well-being of pets everywhere.

Our CPFR initiative encompasses:

1. Collaborative Partnerships: We aim to build strong partnerships with suppliers, planners, and cross-vertical business units, fostering a collaborative ecosystem focused on transparency and efficiency to meet the needs of pet parents.
2. Real-Time Insights: Our vision is to have real-time visibility into inventory insights, product demand, NOP, customer impact and market trends, enabling us to respond swiftly and optimize the availability of pet products.
3. Seamless Integration: We provide a seamless platform that connects all stakeholders in our supply chain, ensuring efficient communication and streamlined operations.
4. Pet-Centric Approach: Our ultimate goal is to enhance the lives of pets and their owners. We strive to exceed customer expectations by delivering products when and where they are needed.
5. Continuous Innovation: We embrace a culture of continuous improvement, constantly seeking innovative solutions to meet the evolving needs of our customers.

Highlights

We delivered a best-in-class ranking compared to competitor CPFR programs by our vendors. We surveyed Tier 1 and Tier 2 vendors to assess their view of the CPFR program's value, effectiveness, and areas for improvement. While some vendors mentioned receiving more data from competitors, Chewy stands out with its collaborative data-driven approach. In 2024, we're strategically aiming to not only match but exceed our competitors in data sharing.

We delivered real-time insights for forecast reconciliation, NOP exception reporting, and inventory scenario escalations. We are not merely sharing data; rather, we have developed analytics tools and streamlined processes to transform raw data into actionable insights (e.g., SKU 134039 at DFW1 had 223 non-optimal units last week. This SKU/FC has impacted Chewy the last 13 of 13 weeks for a total of 2976 units. The current FC fill-rate is 20% compared to the Network fill-rate of 45%). In 2024, we are actively planning to enhance our current processes and introduce new ones, with a particular focus on Autoship backorder management, Catalog details enhancement, and PO escalation and prioritization.

We delivered seamless data through an existing cloud-based platform named VDS Direct to 5 vendors. VDS Direct, an add-on for VDS Premium, streamlines cloud-based data exchange. In 2024, we'll improve it further by adding NOP data, Autoship backorder %, catalog details, and purchase order information. We'll also extend this to new VDS Premium vendors with the help of VDS/Merchandising.

We delivered automation for Chewy planners, saving them time and creating uniformity. The CPFR program holds regular meetings with planners and vendors, automating data transmissions for increased efficiency. We engaged in a collaborative effort to develop vendor-owned dashboards integrated with their SAP systems (refer to Appendix 1.5-1.8). We also synchronized the callout structure with Nestle and Mars, resulting in the vendors now having ownership of the weekly callouts.

Lowlights

CPFR missed the initial timeline of VDS Premium launch. We've collaborated with Chewy's EDL/VDS teams to migrate data for VDS Premium launches, but due to VDS Premium 2.0's imminent release, CPFR's launch has been delayed until November. The data teams can now start building visualizations, coordinated by the Vendor Compliance team. We plan to launch these visuals in January and complete VDS by the end of 2024.

We lack a mechanism to forecast future Target inventory changes. CPFR aims to align future forecasts and production with ordering thresholds, but some vendors are concerned about Target inventory fluctuations. While the current inventory decline partly reflects improved performance, we currently lack a means to communicate future Target changes. To address this, we're developing a tool for planners, providing data on forecasts, fill-rates, MOQ, lead time variability, lead time changes, and average DOS for CPFR vendors.

Ran into insufficient resources for comprehensive Data and Visualizations. The development of systems and data integration requires dedicated IT resources to build essential databases and generate the required views for establishing a standardized CPFR process. The recent integration with Vendor Compliance has addressed certain bottlenecks, yet some remain (Appendix 1.0).

Vendor Responses

Overall CPFR Performance

We surveyed a subset of 7 key suppliers. Of the responses received, suppliers rated the overall value of CPFR to their business a **4.6 out of 5**. However, when asked "how does Chewy CPFR data share compare to other customers" our suppliers rated us **4.2 out of 5**. They rate the CPFR collaboration at **4.75 out of 5**. The biggest callout from these suppliers is getting the data on VDS Premium and creating dashboards for them to review the business. Below includes direct feedback from a recent survey.

Successes

Nestle – "CPFR is crucial to our success in servicing the Chewy business and aligning our production. YTD fill rate **improvement of 19%**, PDP In stock improvement from **6% down to 0.66%**, NOP% reduction from **15% down to 3%**. CPFR is crucial to our success in servicing the Chewy business and aligning our production. Continued buildout of key metrics and additional metrics into dashboards will drive further insight and quicker action to improve service."

Mars – "NOP (non-optimal placement) has reduced from **10% to < 2%**. PDP OOS has improved to **less than 1%**. Forecasting bias has **decreased to <5%**. Fill rate has improved as well (**for multiple reasons**) to **90%+**. Overall, the level of partnership in the CPFR space is extremely high. We see the continued value in driving conversations and actions in the CPFR space and think that it is a critical component to delivering business results! The CPFR data and collaboration from Chewy is top notch. I have not worked with another customer who communicates better or provides more data or insights than Chewy!"

Smucker – "Forecasting has improved with CPFR data. Understanding forward looking forecast as well as calculating excess inventory has helped to reduce forecast variance between Chewy and JMS. Forecast variance has **decreased from 10-20% to 5-10%** consistently."

Hill's – "The forecast review meetings we are starting to have between the teams will be beneficial to both parties. We have a great partnership and the information we share between companies is valuable to our demand planners, production planners, and our inventory strategies."

Blue Buffalo – "Chewy is in the top tier of retailers in regard to CPFR collaboration with suppliers. The amount of data shared is robust, and consistent collaboration is best in class. There are some retailers that provide more advanced data that helps us proactively support the business. Our internal forecast accuracy for **Chewy is >5%**, **fill rate is 78%**, **Chewy NOP is under 2%**.

Royal Canin – "Having visibility to Chewy inventory and inventory targets has allowed us to work back internally with our demand and supply planning partners to prioritize recovery on needed items with much more **precise accuracy** by being able to quantify the actual need."

WellPet – "PDP OOS went from over **4% in early 2022 to below 1%** from Aug 2022 to present. Chewy CPFR excels above all other customers."

Improvement Areas

Nestle – "We require a long lead time from a production standpoint at Nestle Purina. The earliest visibility (up to 10 weeks) we can have to demand increases the better. Main improvements would be adding metrics around **NOP, ASBO, and on time shipment metrics in a Direct feed**."

Mars – "Provide transportation KPIs (product in transit, CPU delivery) and Ordering forecast (and deviations from consumption forecast. When the future CPFR forecast/consumption forecast does change/deviate from prior report outs, is there a way we can be notified of either changes or adjustments to the forecast? That can help trigger a conversation between the Chewy and MARS CPFR groups. Other customers have provided **DOS/WOS target calculations** to help make sure their suppliers are looking at the KPIs in the same perspective."

Smucker – "As previously mentioned, **incorporating CPFR into VDS** to have a one stop shop for all data. Order volumes rarely align with demand forecast. Having some sort of order forecast or greater visibility to when Chewy is **adjusting OH inventory targets** would be helpful."

Hills – "1) Would like more location level data, especially history "**re-aligned**" to location level. This would help me **reduce NOP**. 2) **Visibility to auto ship impact** will help us prioritize keeping auto ship intact. 3) We would generally like all data (consumption/POS, inventory, forecast) at the lowest level (sku-location) to help integrate into our planning system to drive **right product, right place, right time**."

Blue Buffalo – "The challenges we have with Chewy are trying to shift from reactive to proactive service mitigation. Chewy is a significant portion of our total volume and can have a large impact on our performance overall. **Having advanced visibility to future order demand, future inventory target adjustments**, etc will help us service the business. Two main areas for improvement: 1) sharing data that suppliers can use directly without having to enhance / manipulate (eg Order vs POS forecast); 2) a few Customers have more **robust internal metrics available / monitored** that improve operations & visibility."

Royal Canin – "Very effective, but the **increase in inventory targets on constrained items** increases Chewy's order quantities to unrealistic numbers and can have a negative impact on our supply chain. We could collaborate on building more **visual dashboards for MBR/QBR reviews, and better exception-style flags** to quickly identify issues/outliers. As Royal Canin dives deeper into CPFR,

having the **raw NOP data** will only benefit us as I know there are learnings we can take away from Mars Petcare. **A higher level of data integration into dashboards with exception style reporting** would also be beneficial.”

WellPet – “This is one key area of improvement. Our team is still trying to understand the **fluctuations in Target Inventory** so we can plan accordingly. Provide **dollarized (in COGS \$s) for On Hand and Target Inventory**. It can be a hassle for manufacturer to convert Units to Dollars, but Dollars are the language we speak. Also, include **Historical Inventory, On Hand and Target.**”

2024 Deliverables

After evaluating input from both internal and external stakeholders and considering the success of our CPFR initiatives, we have established the key deliverables for 2024.

One location for Chewy/Vendors to inspect the business and engage on insights.

Defect – Planners and Vendors use manual file sharing for callouts each week. No uniform way to inspect the business.

Action – The CPFR program will release 2 tools for the business to engage in insights: 1.) VDS Premium and 2.) CPFR workbook. The layout will be based on existing internal and external dashboards developed today.

ETA – Q1/2024

Create a Chewy/Vendor playbook for aligned actions and uniformity.

Defect – The current WBR workbook is outdated and does not have the needed visualizations, subsets, and key insights needed for non-VDS vendors.

Action – An updated WBR workbook will be created in partnership with Vendor compliance.

ETA – Q1/2024

Transition from Planner to Vendor owned callouts.

Defect – Planners spend time each week sending the same callouts for investigation.

Action – Centralizing data in a single location enables us to provide vendors with a weekly script of anticipated callouts to investigate.

ETA – Q1/2024

Build processes and dashboards that pinpoint opportunity

Defect – There are multiple combined conditions that pinpoint opportunity and need to be embedded in visualizations.

Action – The CPFR program will catalog the set of conditions that draw insights and actions into an outward facing playbook.

ETA – Q2/2024

Onboard new vendors using CPFR Vendor Tiering criteria.

Defect – The CPFR approach is not scalable when we aim to involve hundreds of vendors while maintaining a consistent experience.

Action – Not all CPFR vendors are the same based on size, analytics capabilities, and collaboration. As a result, we've categorized them into three tiers. CPFR will primarily concentrate on fostering collaboration with vendors in Tiers 1 and 2, while planners and managers will oversee Tier 3 vendors.

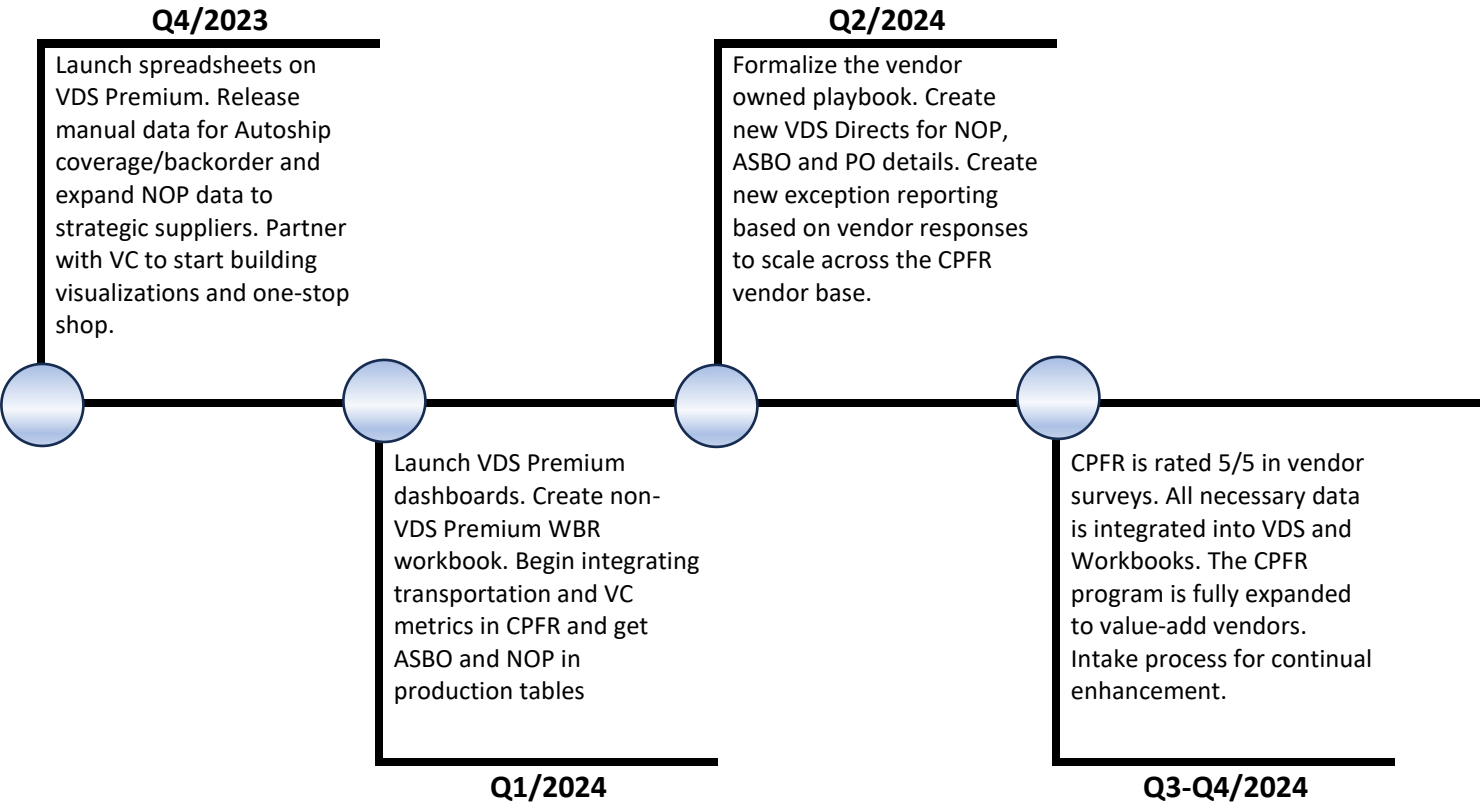
ETA – Q4/2023 -24

Increase the value of VDS Direct

Defect – Sharing data manually or through visualizations requires vendors to invest time in loading the information into their systems and extracting meaningful insights.

Action – Ensure all necessary data for optimization is included in VDS Direct feeds.

ETA – Q3/4 2024



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Project Name: VDS Premium											
Task	Aug	Sept	Oct	Nov	Dec	Jan	Feb	Mar	Q3	Q4	2025
Migrate data to VDS Premium	Complete										
Onboard last 11 vendors											
Launch spreadsheets											
Create visualizations											
Create vendor playbook											
Launch NOP											
Launch ASBO											

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Project Name: Planner WBR playbook												
Task	Aug	Sept	Oct	Nov	Dec	Jan	Feb	Mar	Q3	Q4	2025	
VC/Planner meeting												
Build visualizations using Premium template												
SOP on uniform vendor callouts												
Scale playbook to Teir 3												

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Project Name: NOP												
Task	Aug	Sept	Oct	Nov	Dec	Jan	Feb	Mar	Q3	Q4	2025	
NOP raw data pilot	Complete											
NOP exception reporting	Complete											
Expand NOP exception reporting												
Steering Committee to expand raw data												
SOP for NOP for planners												
NOP in CPFR visualizations												
NOP exception reporting in Tableau												
NOP in production table												
NOP in VDS Direct												
NOP in VDS Premium												

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Project Name: Forecast changeover												
Task	Aug	Sept	Oct	Nov	Dec	Jan	Feb	Mar	Q3	Q4	2025	
Get data in an accessible table	Complete											
Create query to pull Argos forecast												
Get Argos in chewybi table												
Create new Knime workflow												
Migrate Argos to VDS Premium/Direct												
Kepler launches SKU/FC												
Get Kepler in VDS Premium/Direct												
Socrates onboards all Premium vendors												
Launch Argos/Kepler on VDS Premium												
Launch DOS on VDS Premium												

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Priority	Project	Description	Update	Next Owner	Priority
1	Visualizations for VDS Premium	Set of dashboards for the business	VC is combining current dashboards used by planners and will enhance based on feedback. These dashboards become the VDS designs.	VC	High
2	Updated planner playbook	Create an updated WBR workbook for the planners	VC is meeting with planners and CPFR to start the initial build. The same visualizations will be used for VDS Premium.	VC/Planners	Medium
3	Create Tableau visualization for NOP exception reporting w/ buckets	Use Query to build visualization. Create filters with predefined conditions	Discuss after steering committee	VC	High
4	Get NOP in a chewybi table	Need in a production table to share on VDS Direct and Premium	Replen is busy with Socrates. Q2/2024 at the earliest	Replen	High
5	Get ASBO in a chewybi table	Need in a production table to eventually share on VDS Direct and Premium	ASBO team does not have the data in a chewybi table. System work is needed	ASBO team	High
6	Python enhancement	Allow CPFR to add SOP documentation to CPFR files - Need in order to expand.	On the DA roadmap for October	DA	Medium
7	Python enhancement	Run by Vendor number - PB	Python enhancement	DA/VC	Low
8	Create query for NOP Exception reporting	Move from template to query	TBD	VC	Low
9	Add NOP exception reporting to Python	Automate	TBD	DA/VC	Low

Data - Non VDS Premium Data Share		
Description	Status	Resource need (*)
SKU and SKU/FC CPFR data on Python	Complete	
Raw NOP data on Python	Complete	* DA
NOP exception reporting on Python	11/1/2023	* DA
ASBO on Python	11/1/2023	* DA
Catalog Details on Python	11/1/2023	* DA
Argos SKU forecast for Socrates vendors	11/1/2023	* EDL
Kepler SKU/FC forecast for Socrates	2/1/2023	* EDL
CPFR Workbook - Non VDS members	TBD	* SC
Single source platform for data sharing (Knime or TBD)	TBD	* SC
Data - VDS Premium – Launch schedule		
CPFR on VDS: Data share - 2 views	11/1/2023	
CPFR forecast and DOS on VDS Premium	Q4/2024	* EDL/Replen
Historical data on VDS Direct	11/1/2023	* EDL
Visualizations and Dashboards	1/1/2023	* SC
Raw NOP data on VDS Premium	Q4/2024	*Replen
NOP exception reporting on VDS Premium	Q4/2024	* SC/EDL
Catalog Details on VDS Premium	Q1/2024	* SC/EDL
ASBO on VDS Premium	Q4/2024	* AS
VDS Direct for NOP	TBD	*EDL
VDS Direct for ASBO	TBD	*EDL
VDS Direct for PO details	TBD	*EDL
System - Non VDS Premium		
Complete Version 1 of Python	Complete	* DA
Version 2 of Python	Q1/2024	* DA
Integrate CPFR reports with VC - 1 platform	Q2/2024	* SC
CPFR Workbook - Non VDS members	Q1/2024	* SC
Inventory Health		
Enhance forecast reconciliation process	Q4/Q1	
Define SOP for forecast reconciliation	Q4/2023	
Define SOP for catalog reconciliation	Q4/2023	
Define SOP for planner engagement	Q1/2024	
Define SOP for exception reporting	Q1/2024	

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Appendix 1.1 – Vendor Tiers

Tier 1 Data/System/Processes							
	Nestle	Mars	Blue Buffalo	Hills	Royal Canin	Smucker	WellPet
Forecast Alignment	X	X	X	X	X	X	X
Automated forecast alignment	X	X	X			X	
VDS Direct	X	X	X		X		X
Vendor Dashboards	X	X	X		WIP		WIP
Vendor formatted weekly response	X	X			Initial version	X	
Raw NOP data	X	X	X				
NOP exception reporting	X	X	X	X	X		X
Aligned response to weekly NOP	X	X					

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Vendor Tiering			
Criteria			
COGS (>10 million = Tier 1, <10 Tier 2/3)			
VDS Premium			
Vendor analytics capability			
Level of collaboration			
Merch growth strategy (high/med/low)			
Processes			
	Tier 1	Tier 2	Tier 3
JBP	X		
High Collaboration (daily/weekly)	X		
Medium Collaboration (monthly)		X	
Low Collaboration			X
Forecast Reconciliation	X	X	
SKU/FC CPFR	X	X	
SKU level Data	X	X	X
CPFR workbook	X	X	X
Pilot Data	X		
Vendors	Tier 1	Tier 2	Tier 3
Nestle Purina	X		
Mars	X		
Blue Buffalo	X		
WellPet		X	
Royal Canin		X	
Hills		X	
Smucker's		X	
Spectrum			X
Champion		X	
Church and Dwight		X	
Nature's Variety			X

KONG			X
The Honest Kitchen			X
Stella and Chewy			X
Whitebridge			X
Pets Global			X
Made by Nacho			X
Natural Balance			X
Hartz			X
Weruva			X
Applaws			X
Nulo			X
Pure Treats			X
Inaba			X
Carnivore			X

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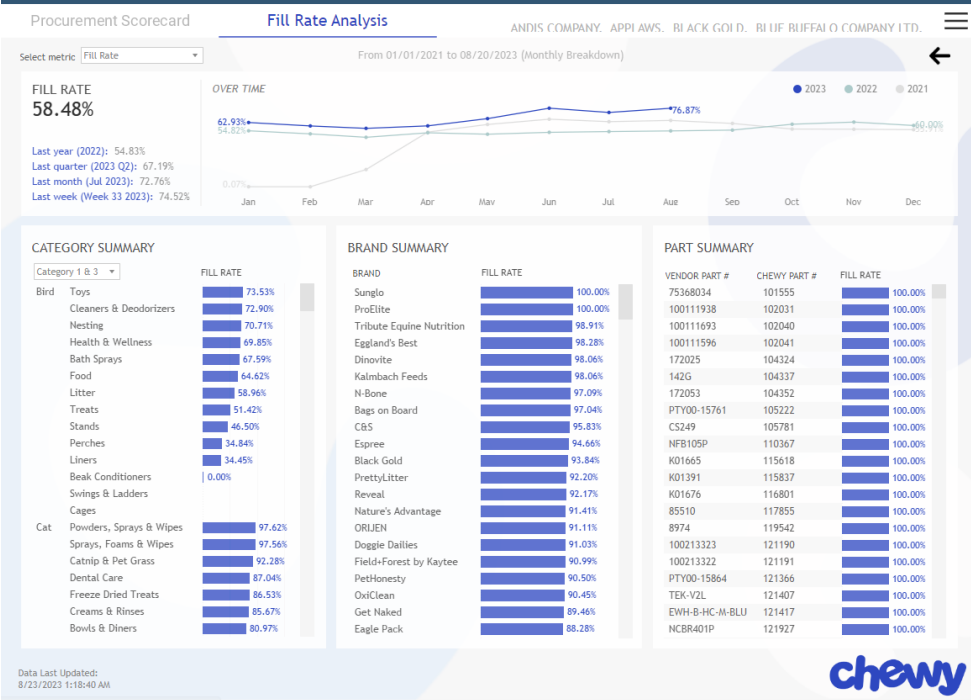
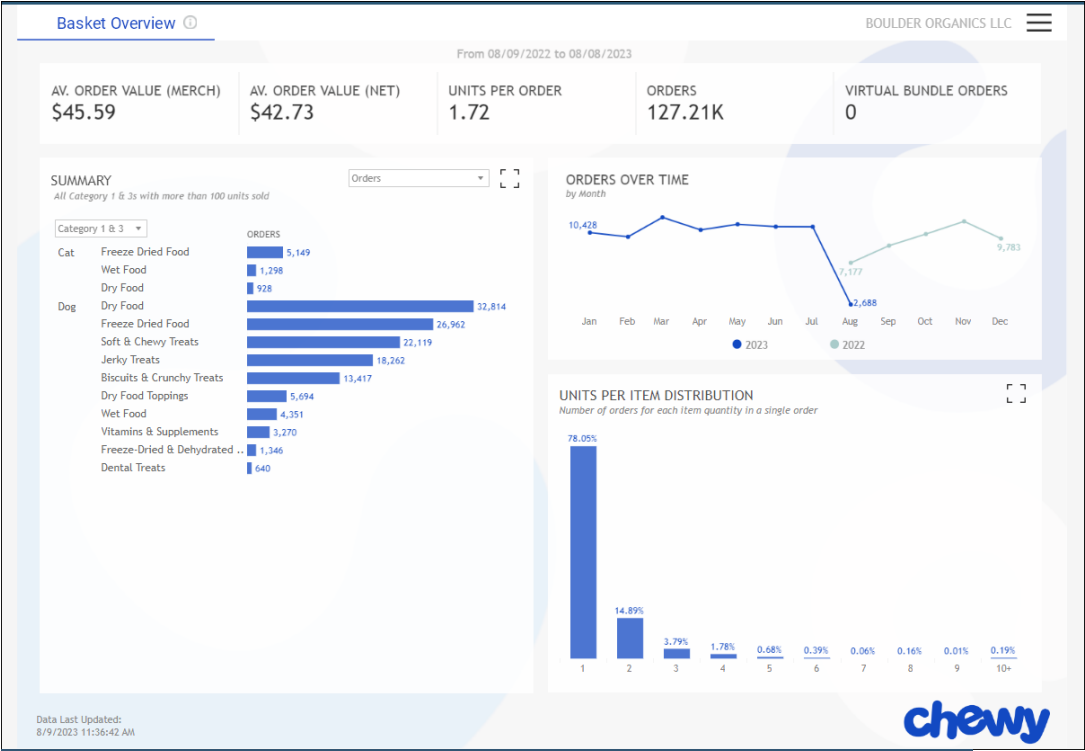
Appendix 1.2 – Current/Future Data

Current CPFR Data	
Report	Fields
SKU/FC	On-hand, On-order, Target, AS demand, 6-month forecast
SKU	On-hand, On-order, Target, AS demand, 6-month forecast, PDP OOS, Fill-Rate, DOS
SKU PDP/OOS	7-day Fill-rate, 28-day Fill-rate, 7-day PDPOOS, 28-day PDPOOS
Pilots	
NOP Raw Data	Tier, Tier Region, NOP Demand, OP Demand, Total Demand
NOP Exception Reporting	Above, FC Fill-rate, Network fill-rate, FC On-hand, FC on-order, FC Target, FC DOS, Network DOS
ASBO	7-day ASBO%, 28-day ASBO%, % of contribution, 28-day AS Demand, 28-day fill-rate, 7-day PDPOOS, 28-day PDPOOS, On-hand, On-order
Catalog details	TBD
Future CPFR Data	
PO Details	TBD
Vendor Compliance	TBD
Transportation	TBD
Future Visualizations	
Inventory health	
At-Risk and AS at Risk	
Gap to Target	
WoW and MoM	
Fill-rate	
PDPOOS	
Order history	
Overall scorecard	
NOP Scorecard	
NOP exception reporting	
Vendor Compliance	

Appendix 1.3 – Future Visualizations

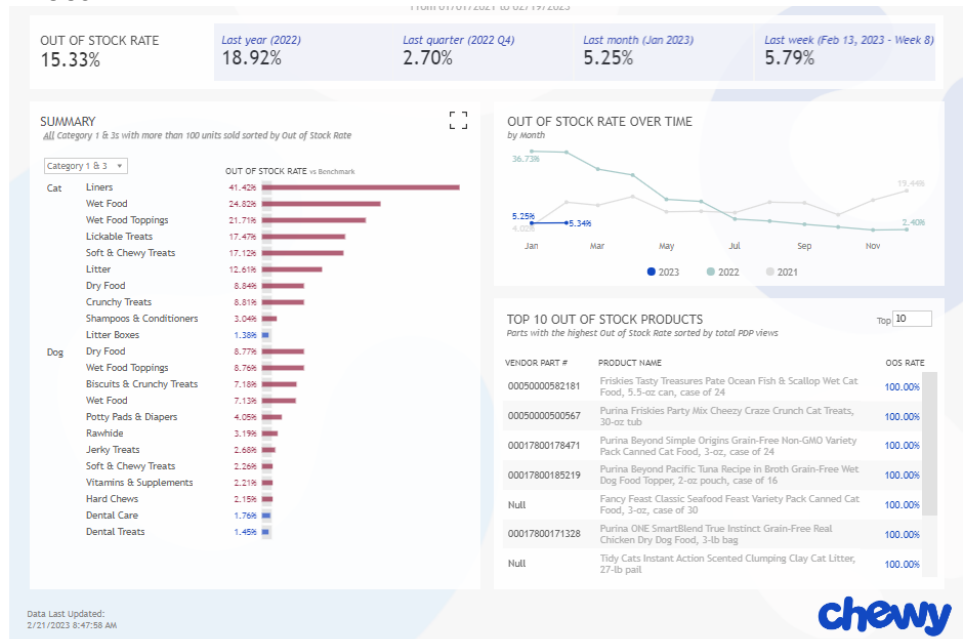
There will be 2 sets of visualizations: 1) VDS Premium and 2) Non-VDS Premium. These will be almost identical but differ in formatting due to the unique templates for VDS Premium. The Non-VDS Premium dashboards will be in a Chewy Tableau folder and the Workbook.

VDS Premium Templates:

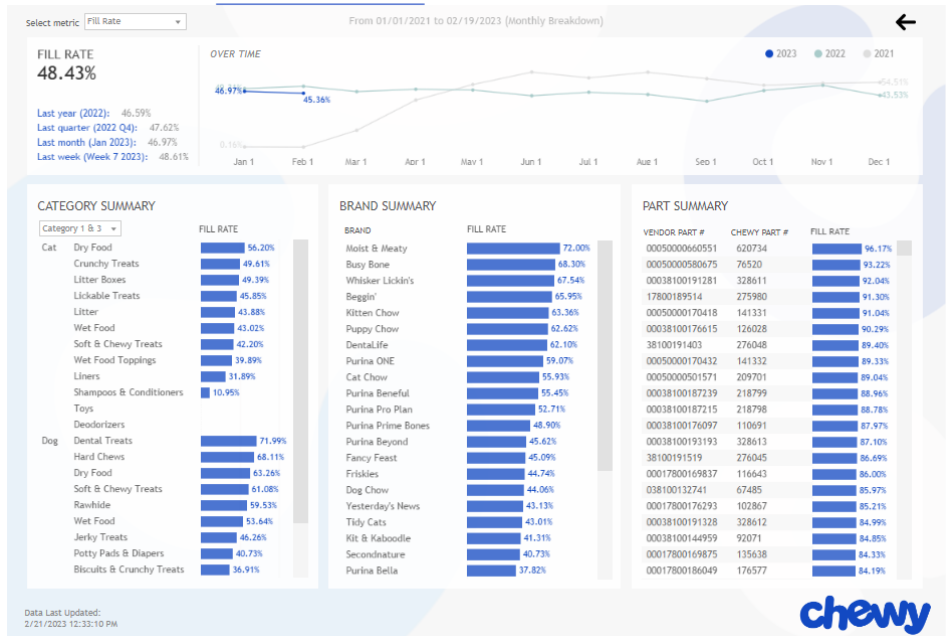


Appendix 1.4 – Current VDS Visualizations

PDPOOS:



Fill-Rate:



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NPPC DP Evaluation - Understated Example



NPPC DP Evaluation - Understated Example



DIRECT TRUCK FILE

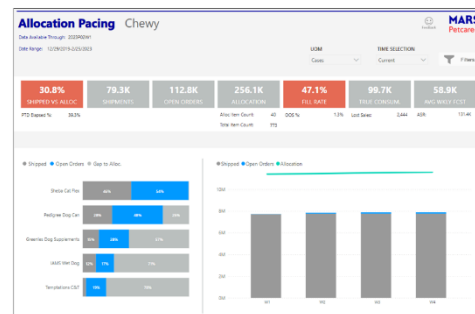
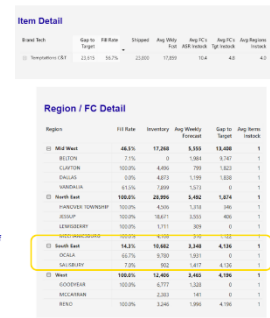
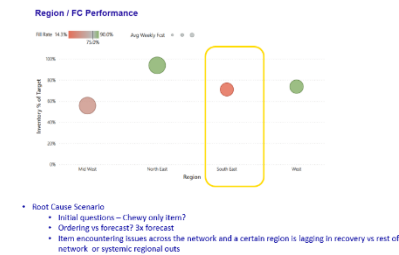
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NPPC CFSC ND Recommended Example

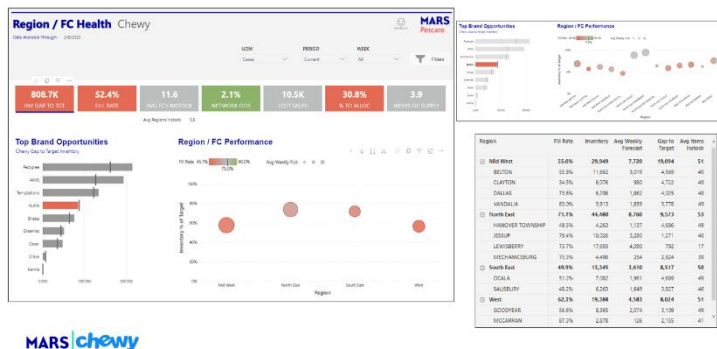


Allocation Pacing Tool

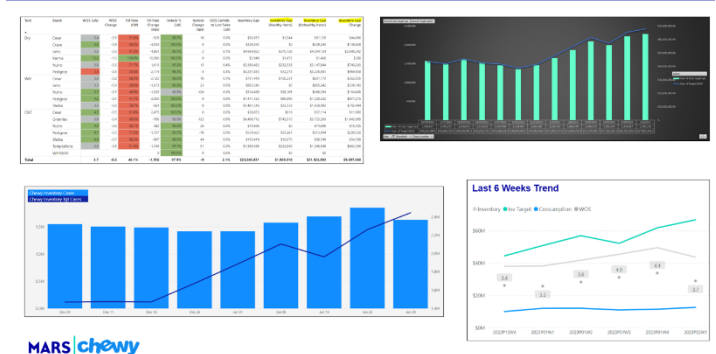
NOP Example Using Region/FC Tool



Region/FC Tool



Inventory Dashboards





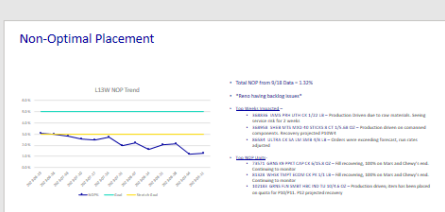
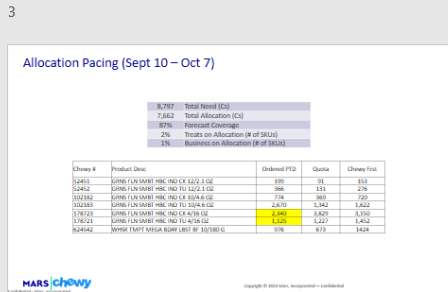
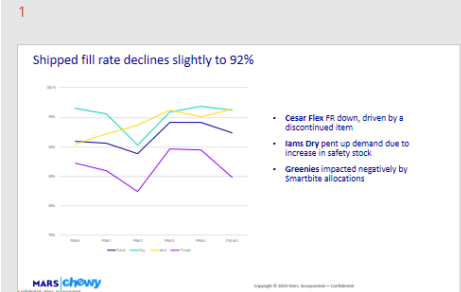
Key findings: with the incorporation of key processes we have experienced a 30% increase inventory OB vs. previous month, as well as a 0% increase in DGS across the TotalPortfolio.

- Consolidation of 26 closed trucks across West/Esp over the last 30 days
- Consolidation/Process implemented Bill-Mark (2022) resulting in week-over week reduction
- Increase on Esp Order CAPS 100+ 100 (2/23) allowing for capacity utilization
- Weekly Capacity Plans and Plot a Look Review to mitigate deficit

- ACT-25 ITEM:**

Item #	Capture Date	Comment	Action	Status	Owner
2	17 May	Site Visit: B&G & Leifhouse	Cherry is working on informal approach to secure B&G to add to list or site	In Progress	Monica/Cherry
3	26 May	Completed site visit: Cherry, Leifhouse	Present a report on site visit to Cherry for review; Cherry to send a report to B&G	In Progress	Monica

Discussion



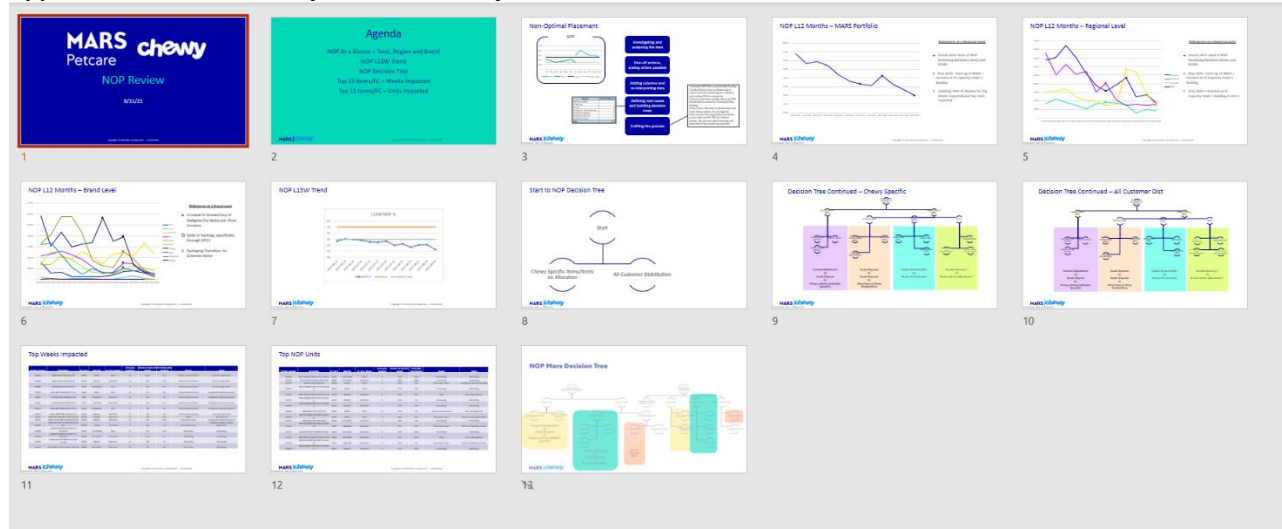
Appendix 1.7- NOP Exception reporting

The raw NOP data is 10's of thousands of rows of data. To target insights, we used SKU/FC fill rate, inventory, forecast, DOS, and SKU attributes to create conditions.

1. Identify where FC Fill-rate is 20% than the network
2. Identify why the same SKU/FC has impact WoW
3. Identify when FC fill-rate >80% and Target DOS is low
4. Identify when Regions/FC spike

Link to NOP exception reporting: [Nestle Exception Reporting NOP 09.19.2023.xlsx](#)

Appendix 1.8 - Mars Weekly NOP review/adjustments



Appendix 1.9: Forecast Reconciliation

Effective forecast reconciliation with vendors brings numerous benefits. By aligning expectations and projections, accuracy is improved, leading to better production runs and allocation. This, in turn, generates cost savings by optimizing inventory levels and reducing the risk of stockouts or excess inventory. Moreover, forecast reconciliation fosters better collaboration with vendors, strengthening relationships and minimizing disruptions in the supply chain. Additionally, the process enables data-driven decision-making, continuous improvement, and efficient supply chain management. These advantages make forecast reconciliation a key practice for seeking operational excellence and successful vendor partnerships.

Reasons Why:

- **Improved accuracy:** Forecast reconciliation with a vendor helps ensure that the vendor's expectations align with our projected needs, resulting in more accurate forecasts.
- **Enhanced planning:** By reconciling forecasts, vendors can effectively plan and allocate resources, such as inventory, personnel, and production capacity, based on the anticipated demand.
- **Cost savings:** Accurate forecast reconciliation helps prevent overstocking or understocking of goods, minimizing inventory carrying costs and reducing the risk of stockouts or excess inventory.
- **Stronger vendor relationships:** The process of forecast reconciliation fosters collaboration and communication with our vendors, strengthening the relationship and leading to additional value-add opportunities.
- **Minimized disruptions:** When forecasts are reconciled with the vendor, it reduces the likelihood of unexpected demand fluctuations or supply chain disruptions, enhancing operational stability.

Types of Forecast Reconciliation

1. **Forward Forecast Reconciliation:** Forward forecast reconciliation involves comparing and adjusting future forecasts. It aims to refine and improve forecasts for upcoming periods/months. By analyzing the variance, and operational metrics, the vendor can make proactive adjustments for future production runs.
2. **Backward Forecast Reconciliation:** Backward forecast reconciliation, on the other hand, focuses on reconciling past forecasts with the actual performance that occurred during a specific period.

Measuring Success:

1. Forecast variance between Chewy and Vendor
 - a. Should decrease over time

- 391 2. Attainment is <5% from 90 days prior
 392 3. Aligned and documented process

393 **Future measures:**

- 394 1. Brand level growth projections – Merch involvement
 395 2. Isolating base demand from promotions and communicating through a signal
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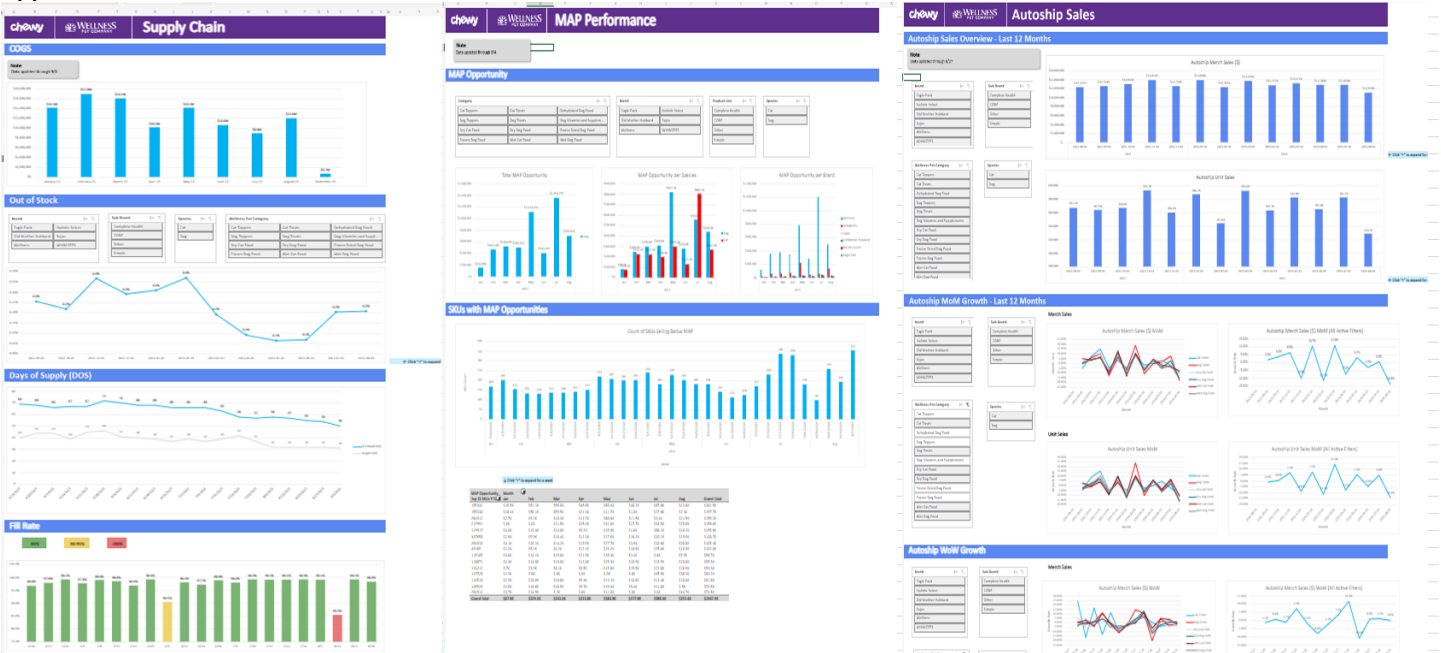
Appendix 2.0- Amazon Benchmarking

Amazon Benchmarking			
Cadence/Capability			
	Current Chewy CPFR	CPFR FY2023	Amazon
Capability to scale	X(N)	X	X
Automated/Secure data		X	X
Single vendor access point		X	X
Daily data		X	
Weekly data	X	X	X
Weekly/Monthly/Quarterly reporting data		X	X
Data analytics and inspectors (SKU drivers and trends)		X	
Visualizations		X	X
Forecast			
3-Month demand forecast (aggregate)	X	X	X
6-Month demand forecast (weekly)		X	X
6-Month demand forecast at SKU/FC	X	X	
30-day AS demand	X	X	N/A
Predictive inventory levels (purchasing forecast)			X
Inventory			
Sellable inventory	X	X	X
On-order inventory	X	X	X
Target inventory	X	X	N/A
Days of Supply (DOS)	X(N)		X
Lead-time		X	X
Performance Scorecard		X	X
Location OOS	X	X	
Reporting			
Fill-Rate	X	X	X
PDP OOS%	X	X	X
Past Reporting (Summary Reporting)	X(TBD)	X	X
Impact to Unfilled Customers- AS BO	X(TBD)	X	X
PO Details – Future CPFR for PO prioritization		X	X

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Appendix 2.1 – Merch Workbook



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Appendix 2.2- CPFR Metrics

Table 1: CPFR YTD COGS vs Non-CPFR						
MC1	2023 CPFR COGS (\$)	2023 NON-CPFR COGS (\$)	2023 Total COGS (\$)	% Total		
Consumables	\$ 2,220,143,048	\$ 606,319,060	\$ 2,826,462,108	53%		
Hard Goods	\$ 12,307,526	\$ 160,401,425	\$ 172,708,951	0%		
Healthcare	\$ 615,308,196	\$ 230,873,319	\$ 846,181,515	15%		
Premium	\$ 193,710,479	\$ 48,613,165	\$ 242,323,644	5%		
Specialty	\$ 6,300,376	\$ 114,987,609	\$ 121,287,985	0%		
Grand Total	\$ 3,047,769,625	\$ 1,161,194,579	\$ 4,208,964,204	72%		

Table 2: Key Performance Metrics YTD CPFR vs Non-CPFR						
Period	Avg. CPFR On-Hand Inv. (Units)	Avg. CPFR PDP OOS	Avg. CPFR Fill-Rates	Avg. Non-CPFR On-Hand Inv. (Units)	Avg. Non-CPFR PDP OOS	Avg. Non-CPFR Fill-Rates
P07/23	3,387,823	2%	66%	4,712,183	2%	78%
P08/23	3,455,132	2%	63%	4,728,500	3%	78%
P09/23	3,493,550	3%	67%	4,742,528	3%	77%
P10/23	3,482,316	2%	69%	4,824,051	3%	79%
P11/23	3,232,439	3%	71%	4,442,075	3%	77%
P12/23	3,173,840	3%	71%	4,109,552	3%	77%
P01/24	3,501,308	7%	58%	4,169,707	4%	71%
P02/24	3,807,089	6%	58%	4,248,751	4%	70%
P03/24	3,816,219	5%	59%	4,251,706	4%	72%
P04/24	4,001,617	4%	59%	4,356,743	3%	74%
P05/24	4,128,617	3%	64%	4,487,433	3%	73%
P06/24	3,875,476	3%	63%	4,497,313	2%	76%
P07/24	3,688,495	2%	66%	4,658,642	2%	78%

Table 3: NOP Pilot Vendors					
Month	Sum of NOP Demand	Sum of Total Demand	NOP %		
2023-01-01	1,284,688	12,219,013	11%		
2023-02-01	927,648	11,102,654	8%		
2023-03-01	1,136,606	12,273,413	9%		
2023-04-01	912,548	11,504,889	8%		
2023-05-01	820,768	11,855,572	7%		
2023-06-01	477,359	11,618,315	4%		
2023-07-01	424,024	11,728,893	4%		
2023-08-01	381,215	11,720,665	3%		
2023-09-01	51,584	1,723,835	3%		

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Metrics Performance

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While the CPFR vendors saw an increase in PDPOOS at the beginning of the year, this was driven by known constraints of our largest vendors Nestle and Mars. We collaborated to align their system's requirements with our future needs, as their demand/production systems will decrease expected demand based on historical shipment data. There is more complexity with the CPFR vendors given their size, SKU portfolios, and multiple DCs. While the constraints are mostly resolved, we are discussing how vendors can better communicate upcoming long-term constraints (+3 months out) and build processes around it.

VDS Premium	Launch Date
Nestle Purina	2023
Mars	2023
Blue Buffalo	2023
Smucker’s	2023
Hills	2023
Royal Canin	2023
Church and Dwight	2023
WellPet	
Spectrum	
Nature's Variety	
Made by Nacho	
Weruva	
Applaws	
Carnivore	
Champion	
Canidae	
Petsafe	
Central Garden	
Pethonesty	
Foodscience Corp	
Oxbow	
Benebone	
Iris	
Kalmbach	
Pretty Litter	
Andis	
Nutrena	